

KPI Definitions

1. Revenue

Definition:

Total net sales after returns and discounts.

Formula:

Revenue = Net Sales – Returns

Target:

10% year-over-year growth

2. Gross Margin

Definition:

Percentage of revenue remaining after cost of goods sold.

Formula:

$(\text{Revenue} - \text{COGS}) / \text{Revenue} \times 100$

Target:

35%

3. Forecast Accuracy

Definition:

Measures how closely sales forecasts match actual sales.

Formula:

$100 - (|\text{Forecast} - \text{Actual}| / \text{Actual} \times 100)$

Target:

95%

4. OTIF (On Time In Full)

Definition:

Percentage of customer orders delivered on time and in full.

Formula:

$(\text{Orders delivered on time and in full} / \text{Total orders}) \times 100$

Target:

95%